CONSTELLATION ENERGY CORPORATION

This note frames the current earnings base for CEG with emphasis on profitability, capital structure, and cash-flow durability.

Revenue	Net Income
$22.7B	$2.32B
19.5%	-38.1%

Operating Margin	Free Cash Flow
13.6%	$1.29B
-40.7%	NM

At a glance

- Revenue is $22.7B with 19.5% change versus the prior period.
- Net income is $2.32B, indicating current earnings scale.
- Balance sheet reads at 0.49x debt-to-equity and 1.53x current ratio.

Executive Summary

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31

CEG posted $22.7B in revenue (19.5% YoY) and $2.32B in net income (-38.1% YoY) for 2025-12-31. Revenue growth coupled with declining net income suggests margin pressure or rising operating costs that bear monitoring in subsequent periods. The profitability profile is defined by operating margin of 13.6% and net margin of 10.2%, framing the earnings quality behind the headline figures.
The balance sheet carries a moderate profile at 0.49x debt-to-equity and 1.53x current ratio, which is serviceable but leaves less margin for error under stress. The quick ratio of 1.31x confirms liquidity depth after excluding inventory from the coverage calculation.

Cash generation is anchored by $4.24B in operating cash flow versus -$2.46B in the prior period, which converts to $1.29B in free cash flow versus -$5.03B in the prior period. Capital expenditures of $2.95B (13.0% of revenue) show the reinvestment burden required to sustain the current operating base. The conversion of earnings into operating cash flow suggests the reported result is supported by cash generation rather than dominated by accruals.

Current balance-sheet and cash profile: leverage at 0.49x, current ratio 1.53x, free cash flow $1.29B.

Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$22.7B	$19.0B	19.5%
Net Income	$2.32B	$3.75B	-38.1%
Operating Margin	13.6%	22.9%	-40.7%
Debt-to-Equity	0.49x	0.55x	-10.5%
Current Ratio	1.53x	1.57x	-3.1%
Free Cash Flow	$1.29B	-$5.03B	NM

Revenue
$22.7B

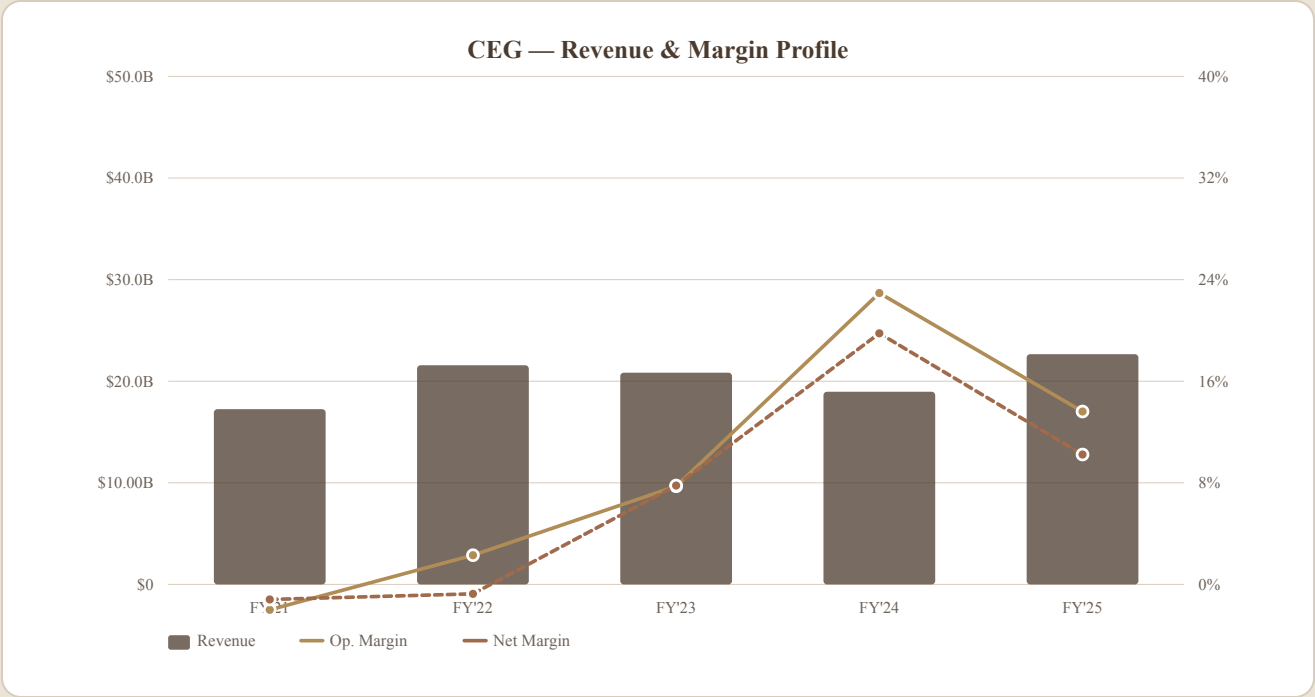
Net Income
$2.32B

Operating Margin
13.6%

Free Cash Flow
$1.29B

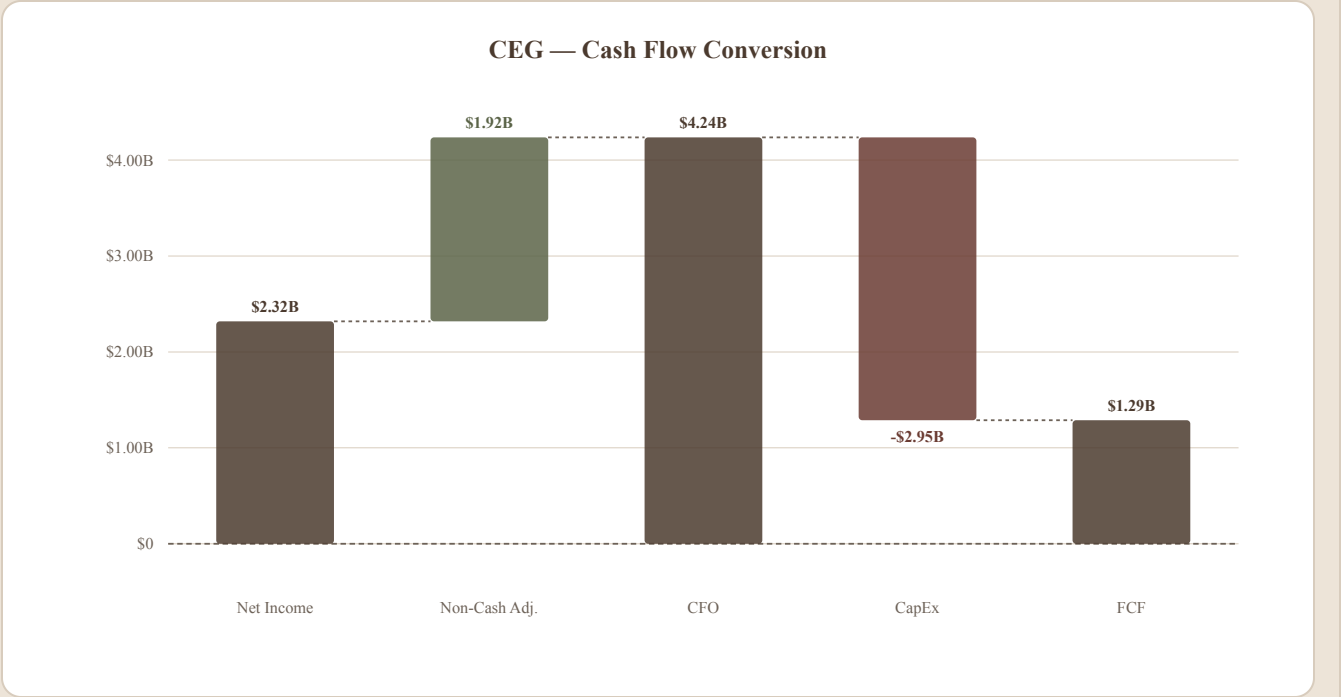
Visual Highlights I

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.

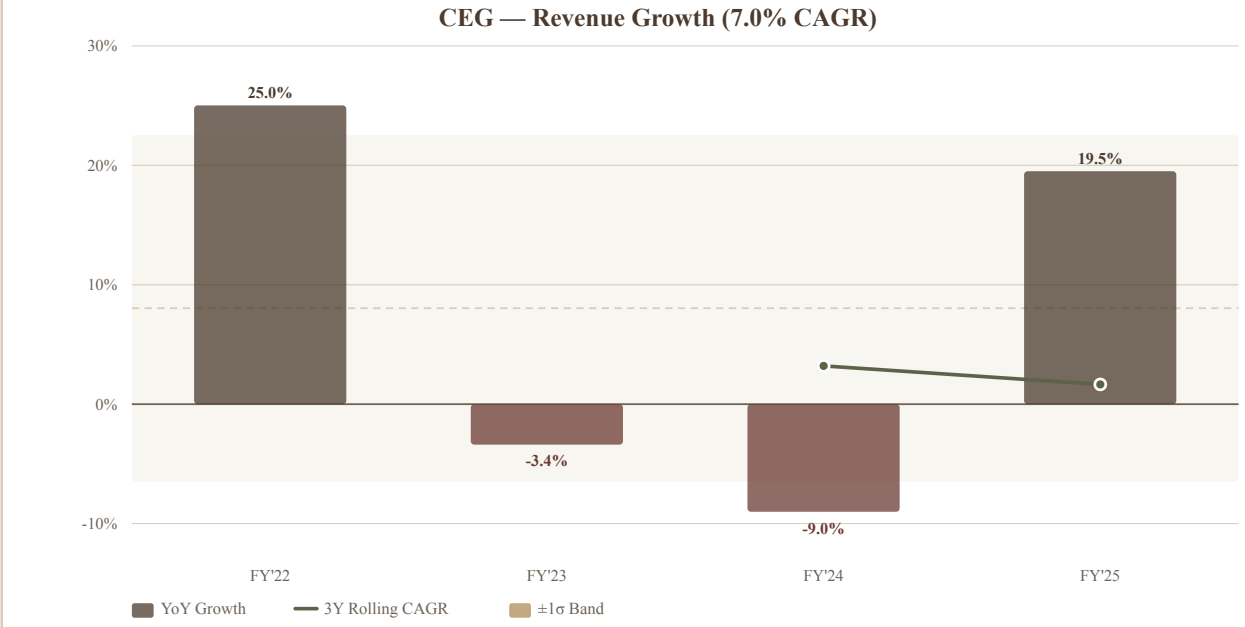


Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Visual Highlights II

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31



Revenue Growth

Year-over-year growth path and stability over the latest annual periods.

Interpretation Snapshot

Key interpretation anchors from the same annual data used in the charts.

- Return on equity is 16.3%, indicating current capital productivity.
- Debt-to-equity stands at 0.49x, a direct read on leverage sensitivity.
- Current ratio is 1.53x, framing near-term liquidity coverage.
- Operating cash flow is $4.24B.

Key Metrics Dashboard

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31

Profitability

Metric	Current Value	Prior Period	Change (%)
Return on Equity	16.3%	27.7%	-41.0%
Return on Assets	4.2%	7.1%	-40.6%
Operating Margin	13.6%	22.9%	-40.7%
Net Margin	10.2%	19.8%	-48.2%
Earnings Per Share (Diluted)	$7.40	$11.89	-37.8%

Liquidity & Leverage (1/2)

Metric	Current Value	Prior Period	Change (%)
Current Assets	$12.1B	$10.8B	12.5%
Current Liabilities	$7.94B	$6.85B	16.0%
Cash & Equivalents	$3.64B	$3.02B	20.5%
Long-Term Debt	$7.40B	$8.47B	-12.6%
Short-Term Debt	$1.65B	$0	N/A

Liquidity & Leverage (2/2)

Metric	Current Value	Prior Period	Change (%)
Total Debt	$7.25B	$7.38B	-1.8%
Current Ratio	1.53x	1.57x	-3.1%
Quick Ratio	1.31x	1.34x	-2.5%
Debt-to-Equity	0.49x	0.55x	-10.5%

Key Metrics Dashboard (Cont.)

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$22.7B	$19.0B	19.5%
Operating Income	$3.09B	$4.35B	-29.1%
Net Income	$2.32B	$3.75B	-38.1%
Total Assets	$57.2B	$52.9B	8.2%
Total Liabilities	$42.4B	$39.4B	7.6%
Stockholders' Equity	$14.9B	$13.5B	9.7%
Shares Outstanding	312.0M	313.0M	-0.3%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$4.24B	-$2.46B	NM
Cash at End of Period (cash-flow statement)	$3.75B	$3.13B	19.8%
Capital Expenditures	-$2.95B	-$2.56B	15.0%
Free Cash Flow	$1.29B	-$5.03B	NM
Working Capital	$4.17B	$3.93B	6.2%
Asset Turnover	0.41x	0.36x	14.8%
Book Value Per Share	$47.61	$43.26	10.1%

Commentary

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31

What stands out

- Operating Income is currently $3.09B with 64.5% CAGR. Operating Income has grown at a 64.5% CAGR.
- Operating Cash Flow is currently $4.24B with 48.6% CAGR. Operating Cash Flow has grown at a 48.6% CAGR.
- Net Income is currently $2.32B with 31.5% CAGR. Net Income has grown at a 31.5% CAGR.

Watch items

- No major quantitative red flags are active in the locked annual snapshot; continue monitoring margin durability and cash conversion.

Analyst interpretation

- ROE of 16.3% indicates efficient use of shareholder capital.
- Revenue is up 19.5% year over year, showing strong top-line momentum.
- Current ratio of 1.53x indicates solid liquidity.

Next Filing Checklist

- Confirm whether CEG can sustain revenue at $22.7B through the next filing cycle.
- Track free cash flow conversion versus earnings; current reference is $1.29B.
- Reassess leverage and liquidity together (0.49x debt-to-equity, 1.53x current ratio).

Appendix

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31

Appendix A — CEG Income Statement

Metric	FY2025	FY2024	FY2023
Revenue	$22.7B	$19.0B	$20.8B
Operating Expenses	$22.4B	$19.3B	$23.3B
Operating Income	$3.09B	$4.35B	$1.61B
Net Income	$2.32B	$3.75B	$1.62B
EPS (Basic)	$7.40	$11.91	$5.02
EPS (Diluted)	$7.40	$11.89	$5.01
Weighted Avg Shares (Diluted)	314.0M	315.0M	324.0M
Income Tax Expense	$1.19B	$774M	$859M

Appendix B — CEG Balance Sheet (Part 1/2)

Metric	FY2025	FY2024	FY2023
Shares Outstanding	312.0M	313.0M	317.0M
Total Assets	$57.2B	$52.9B	$50.8B
Total Liabilities	$42.4B	$39.4B	$39.5B
Total Stockholders' Equity	$14.9B	$13.5B	$11.3B
Current Assets	$12.1B	$10.8B	$8.30B
Current Liabilities	$7.94B	$6.85B	$6.32B
Cash & Equivalents	$3.64B	$3.02B	$368M
Total Debt	$7.25B	$7.38B	$7.50B
Long-Term Debt	$7.40B	$8.47B	$7.68B

Appendix B — CEG Balance Sheet (Part 2/2)

Metric	FY2025	FY2024	FY2023
Short-Term Debt	$1.65B	$0	$1.64B
Inventory	$1.74B	$1.60B	Not reported
Accounts Receivable	$4.27B	$3.12B	$1.93B
Other Current Assets	$635M	$689M	$1.66B
Accounts Payable	$2.81B	$2.37B	$1.30B
Other Current Liabilities	$366M	$332M	$338M
Retained Earnings	$5.90B	$4.07B	$761M
AOCI	-$2.42B	-$2.30B	-$2.19B
Goodwill	$420M	$420M	$425M

Appendix (Cont.)

CEG — Current period: 2025-12-31 | Prior period: 2024-12-31

Appendix C — CEG Cash Flow Statement

Metric	FY2025	FY2024	FY2023
Operating Cash Flow	$4.24B	-$2.46B	-$5.30B
Capital Expenditures	-$2.95B	-$2.56B	-$2.42B
Investing Cash Flow	-$3.20B	$7.43B	$3.03B
Financing Cash Flow	-$420M	-$2.29B	$2.20B
Dividends Paid	-$486M	-$444M	-$366M
Share Repurchases	-$400M	-$999M	-$992M
Depreciation & Amortization	$2.60B	$2.70B	$2.51B
Depreciation	$967M	$1.10B	$1.07B
Amortization of Intangibles	$18M	$60M	$58M
Debt Repayment	-$1.08B	-$121M	-$168M
Cash at End of Period (cash-flow statement)	$3.75B	$3.13B	$454M

Appendix Notes — CEG

- Locked annual appendix basis uses FY2025 and FY2024.
- Cash-family rows preserve the filing labels directly (Cash & Equivalents) instead of collapsing them into one generic cash figure.
- The cash-flow ending cash line remains separate from the balance-sheet line "Cash & Equivalents" because the filing labels them as distinct cash concepts.

Appendix Notes — CEG (Cont.)

- Asset Turnover: Asset turnover uses average assets for the current period and prior ending assets for the prior comparison.
- Book Value Per Share: Book Value Per Share uses period-end shares outstanding.

Appendix Notes — CEG (Cont.)

- Earnings Per Share (Diluted): Earnings Per Share (Diluted) uses diluted weighted-average shares from the income statement.
- Cash-flow outflows are normalized to negative values so appendix signs match the dashboard and narrative.

Data Sources & Notes

Ticker	CIK	Accession	Form	Filed	Primary Document
CEG	0001868275	0001868275-26-000032	10-K	2026-02-24	https://www.sec.gov/Archives/edgar/data/1868275/000186827526000032/ceg-20251231.htm
CEG	0001868275	0001868275-25-000023	10-K	2025-02-18	https://www.sec.gov/Archives/edgar/data/1868275/000186827525000023/0001868275-25-000023-index.htm
CEG	0001868275	0001868275-24-000014	10-K	2024-02-27	https://www.sec.gov/Archives/edgar/data/1868275/000186827524000014/0001868275-24-000014-index.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Standalone metrics are locked to the selected annual current/prior basis for the issuer.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-08. Retrieval date: 2026-03-08.

Disclaimer: For research use only; not investment advice.